Business Analytics Terminology

1. Business Analytics

Definition:

Business Analytics is about using data to understand how a business is performing in order to make better decisions. It goes beyond just looking at numbers by helping companies find patterns and improve their strategies. It focuses mainly on solving business problems using data.

Example:

A retail store looks at past sales data to decide which products to stock more of during busy seasons.

Source:

Investopedia; Harvard Business Review.

2. Data Analytics

Definition:

The process of working with data to find useful information and trends. A broad concept that can be used in many fields, not just in business. It focuses more on analyzing data itself rather than making business decisions.

Example

A hospital studies patient records to identify common health issues among patients.

Source:

IBM; Investopedia

3. Business Intelligence (BI)

Definition:

Using tools and systems to look at past data and present it in a simple way, like reports or dashboards. It mainly helps businesses understand what has already happened.

Example:

Bright coffee shop uses a dashboard to track monthly sales performance in different regions.

Source:

Microsoft BI; Tableau

4. Data-Driven Decision Making

Definition:

This is when businesses makes decisions based on actual data instead of guessing/relying on opinions. It helps ensure that decisions are more accurate and supported by evidence.

Example:

A company decides to expand into a new area after seeing strong customer demand in that region's data.

Source:

Havard Business Review

5. Big Data

Definition:

Very large amounts of data that are difficult to manage using normal tools. This data ~~is~~ comes in different forms and is generated quickly.

Example

Social media platforms collect and analyze millions of user interactions everyday.

Source:

IBM; Oracle

6. Descriptive Analytics

Definition:

Focuses on summarizing past data to show what has already happened. It is usually presented in reports, charts or dashboards

Example:

A report showing total monthly sales for the past year.

Source:

Investopedia

7. Diagnostic Analytics

Definition:

This tries to explain why something happened by analyzing data in more detail. It looks for causes and relationships between different factors.

Example:

A company investigates a drop in sales and finds that it was caused by an increase in prices.

Source:

IBM

8. Predictive Analytics

Definition:

Uses past data to make predictions about future outcomes. It uses patterns and models to estimate what is likely to happen next

Example:

An online store predicts which customers are likely to buy products based on their browsing history.

Source:

SAS, IBM

9. Prescriptive Analytics

Definition:

Suggest what actions should be taken based on data. It combines predictions with recommendations to help businesses make better decisions.

Example:

A report showing total monthly sales for the past year.

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Investopedia

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Example:

A delivery company uses data to suggest the fastest routes for drivers to reduce delivery time.

Source:

IBM; Gartner

10. Data Literacy

Definition:

The ability to understand, interpret, and communicate data. This means being able to read charts, analyze information, and use data to make decisions.

Example:

An employee reviews a sales report and adjusts their strategy based on the results.

Source:

Qlik; Gartner

11. Structured Data

Data that is organized in a clear format, usually in rows and columns like a table. It is easy to store, search, and analyze data using tools like Excel or databases.

Example:

A spreadsheet showing customer names, ages, and purchase amounts.

Source:

IBM; Oracle

12. Unstructured Data

Definition:

Data that does not have a fixed format or structure. It can include text, images, videos, or audio files, which makes it harder to analyze

Example:

Customer reviews, social media posts or recorded phone calls.

Source:

IBM

~~13. Data Wahouse~~

13. Data Warehouse

Definition

A central place where large amounts of data from different sources are stored. It is designed for analysis and reporting rather than daily operations.

Example:

A company stores sales, customer, and marketing data in one system for reporting purposes.

Source:

Oracle; Microsoft

14. Data Mining

Definition:

The process of analyzing large datasets to find patterns, trends, or relationships. It helps business discover useful insights that are not obvious at first. uses statistical & Machine Learning Techniques.

Example:

A retailer finds that customers who buy bread often also byy milk.

Source:

IBM; SAS

15. Data Visualization

Definition:

The process of presenting data using visuals like charts, graphs and dashboards. It helps make complex data easier to understand.

Example:

A bar chart showing monthly sales performance.

Source:

Tableau; Microsoft

16. Dashboard

Definition

A visual display of important data and metrics in one place. It helps decision-makers quickly understand what is going on. It is usually updated in real time to track performance.

Example:

A sales dashboard showing revenue, number of orders, and top-selling products.

Source:

Microsoft Power BI; Tableau

17. Metric

Definition:

Any measurable value used to track performance or progress. It can be any number that a business monitors, but it does not always directly affect decision-making.

Example:

The number of website visitors per day.

Source:

Investopedia

18. Key performance Indicator (KPI)

Definition:

A specific type of metric that is directly linked to business goals and is used to make decisions. KPIs focus on what really matters for success.

Example:
Conversion rate can be a KPI for an online store because it directly affects sales, while page views may just be a metric
Source:
Harvard Business Review; Investopedia

19. Benchmark
Definition:
Reference point used to compare performance. Businesses use Benchmarks to see how well they are doing compared to competitors or industry standards.
Example:
Comparing your company's sales growth to the industry average.
Source:
Investopedia

20. Segmentation
Definition:
The process of dividing Customers into groups based on shared Characteristics. This characteristics can include Age, location, behavior or preferences. It helps businesses target the right audience more affectively.
Example:
A company Separates customers into groups like students, professionals and retirees for targeted marketing
Source:
Huspot; McKinsey

21. Conversion Rate
Definition
The percentage of people who take a specific action out of

the total number of visitors. It shows how effective a business is at turning visitors into customers.

Example:

If 100 people visit a website and 5 buy something, the conversion rate is 5%.

Source:

Google Analytics; Hubspot

22. Customer Acquisition Cost (CAC)

Definition:

How much a business spends to get one new customer. It includes cost like marketing, advertising and sales. It helps businesses understand how expensive it is to grow their customer base.

Example:

If a company spends R10.000 and gets 100 customers, the CAC is R100 per customer.

Source:

Investopedia; Hubspot

23. Customer Lifetime Value (CLV/LTV)

Definition:

The total amount of money a business expects to earn from a customer over time. It focuses on the long-term value instead of just one purchase. This helps businesses understand customer profitabili

Example:

If a customer spends R500 per year for 5 years, their CLV is R2,500.

Source:

Investopedia; Harvard Business Review

24. CLV : CAC Ratio

This ratio compares how much value a customer brings versus how much it costs to acquire them. A good ratio means business earns more than it spends. If CAC is higher than CLV the business may lose money.

Example:

If CLV is R3000 and CAC is R1000, the ratio is 3:1 meaning in this case the business earns more than it spends.

24. Churn Rate

Definition:

The percentage of customers who stop using a product or service over a certain time. It shows how many customer a business is losing. A high churn rate can be a warning sign.

Example:

If 100 out of 1,000 customers leave, the churn rate is 10%.

Source:

Investopedia

25. Customer Retention Rate

Definition:

~~Re~~ The percentage of customers a business keeps over a period of time. It is the opposite of churn rate and shows customer loyalty. A high retention rate means customers are satisfied.

Example:

If a company keep 900 out of 1,000 custumers, the retention rate is 90%.

Source:

Hubspot

26. Net promoter Score (NPS)

Definition:

Measures how likely customers are to recommend a business to others. It is based on custumer ratings and reflects satisfaction and loyalty. A higher score means customers are happy.

Example:

Customers rate from 0-10 on how likely they are to recommend a company.

Source:

Harvard Business Review

27. Average order value (AOV)

Definition:

The average amount a customer spends per transaction. It is calculated by dividing total revenue by the number of orders. It helps businesses understand spending behavior.

Example:

If revenue is R7,000 from 100 orders, the AOV is R70.

Source:

Shopify; Investopedia

~~28. funnel~~

28. Sales funnel

Definition:

A sales funnel shows the steps a customer goes through before making a purchase. It starts from awareness and ends with the final decision.

Example:

A customer sees an ad, visits a website, adds to cart, and then buys.

Source:

Hubspot

29. Marketing Campaign

Definition:

A planned set of activities aimed at promoting a product or service. It usually runs for a specific time and targets a specific audience

Example:

A company runs a Facebook and email campaign to promote a new product launch.

Source:

Hubspot

30. Post-Campaign Analysis

Definition:

The process of reviewing a campaign after it ends to see how well it performed. It looks at results like sales, engagement, and conversions. This helps businesses improve future campaigns.

Example:

After a campaign, a company checks if sales increased and which ads performed best.

Source:

Google Analytics; Hubspot

31. Incremental Revenue

Definition:

The extra income generated as a direct result of a campaign or action. It shows the true impact of marketing efforts. It focuses only on the additional revenue, not total revenue.

Example:

A company increases sales from R50,000 to R70,000, so the incremental revenue is R20,000.

Source:

Investopedia.

32. Return on Investment (ROI)

Definition:

Measures how profitable an investment is compared to its cost. It shows whether a campaign or project is worth the money spent. A higher ROI means better performance.

Example:

If a campaign costs R5,000 and generates R10,000 profit, the ROI positive.

Source:

Investopedia

33. Return on Ad Spend (ROAS)

Definition:

Measures how much revenue is earned for every rand spend on advertisi[ng]. It only focuses on advertising performance. It helps businesses evaluat[e] the effectiveness of their ads.

Example:

If R1,000 spent on ads brings in R4,000 revenue, the ROAS is 4:1.

Source:

Google Ads; Hubspot.

34. Click-Through Rate (CTR)

Definition:

The percentage of people who click on an ad or link after seeing i[t]. It shows how engaging or relevant the content is. A higher CTR usual[ly] means better performance.

example:

If 1,000 people see an ad and 50 click on it, the CTR is 5%.

Source:

Google Analytics

35. Bounce Rate

Definition:

The percentage of visitors who leave a website after viewing only one page. It shows whether users are a finding the content useful or not. A high bounce rate may indicate a problem.

Example:

If 100 people visit a page and 60 leave without clicking anything else, the bounce rate is 60%.

Source:

Google Analytics

36. A/B Testing

Definition:

A/B testing is a method of comparing two versions of something to see which performs better. It is commonly used in marketing to test ads, emails, or web pages.

Example:

A company test two different email subject lines to see which get more clicks.

Source:

Hubspot

37. Lead Generation

Definition:

The process of attracting and capturing potential customers. This leads show interest in a product or service but have not yet purchased.

Example:

A business collects email addresses through a sign-up ~~fret~~ form in it's website.

Source:

Hubspot

38. Marketing Attribution

Definition:

The process of identifying which marketing channels contributed to a sale. It helps businesses understand what is working. This improves how marketing budgets are spent.

Example:

A company finds that ~~th~~ most sales come from social media ads rather than email campaigns.

Source:

Google Analytics ; Hubspot

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